

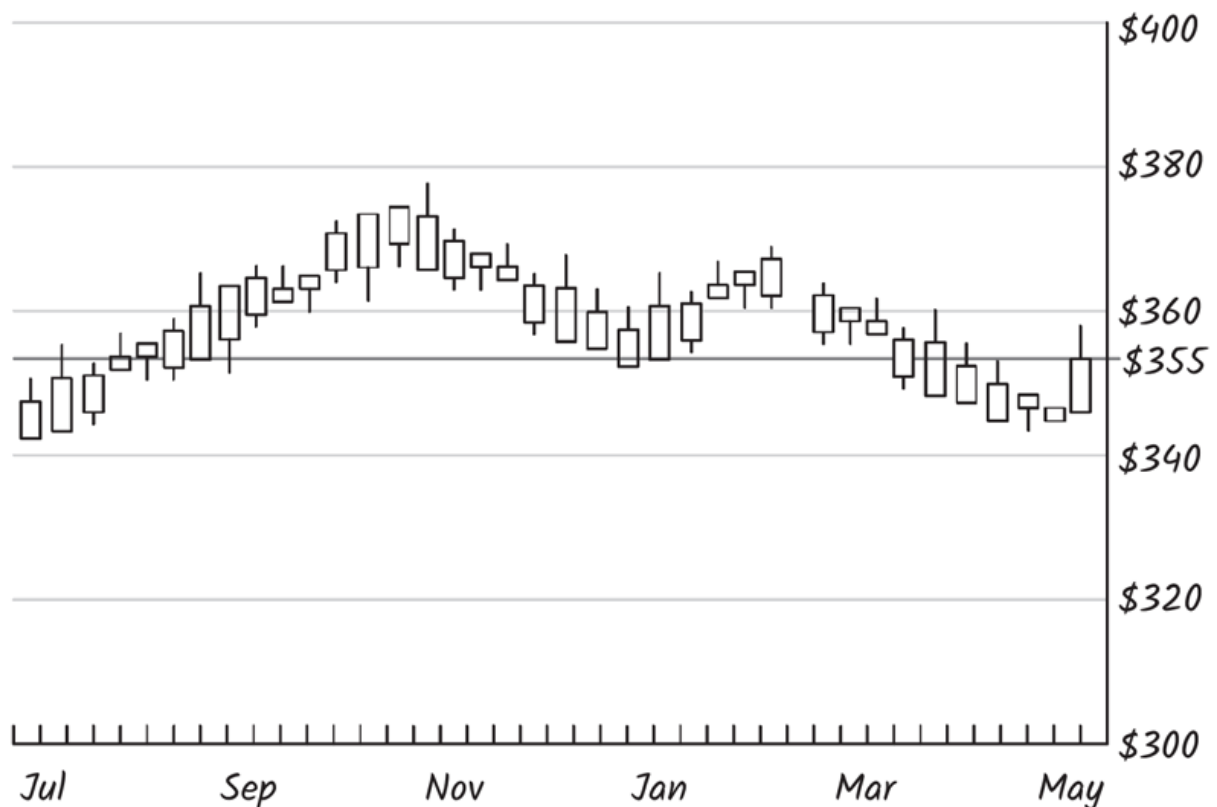


Figure 10.1: a candle stick chart

The lazy investor

The data seems to back the critics of active investing. Between 2004 and 2014, Morningstar compared over 500 actively managed funds in the US with passively managed funds. The active funds returned 8.05 per cent and the passive funds returned 9.27 per cent. Investors in training don't see the benefit of greater work for lower outcomes, and thus the lazy investor was born.

Before we begin, the term 'lazy investor' is not a dig at this strategy. It's just referring to how easy it is to use. And in [chapter 13](#), I show you how you can invest your first \$1000 using this strategy. The lazy investor, or three fund portfolio, is an investing strategy coined by John Bogle, the guy who invented index funds. Those who are huge fans of the method are self-proclaimed 'Bogleheads'.